AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Toast, Inc.

NYSE : TOST · Mature-Company DCF

$18.93B mkt cap · 582M sh · $1.353B cash, zero debt · Net cash +$1.35B ($1.353B cash, no debt); ~582M shares; SBC ~11% of recurring gross profit is the dilution to watch; Revenue $6.15B FY25 (+23%); GAAP op margin inflected to 4.7% (21% in Q1'26); FCF ~$0.6B; net income $342M (vs $19M FY24); ~$30, down ~16% YTD / ~18% TTM

22 October 2026 · the qualitative

$32.54

THE CENTRAL QUESTION

Did Toast's ~18% de-rate misprice a proven operating-leverage inflection — or is it priced for location growth and a payments take-rate that competition compresses?

Toast trades at ~$17.3B (~$29.80, down ~18% TTM) — ~2.6x EV/sales on $6.15B revenue growing ~23%, net cash, with a proven margin inflection (GAAP op margin -7% → 0.3% → 4.7%, and 21% last quarter). The bull is durable ~20% location growth (171k of 875k+ US restaurants) plus attach (Capital, marketing) lifting ARPU and take rate; the bear is payments take-rate compression and SMB cyclicality against Block/Square, Olo and Shift4. The modal case lands +3%, so the price looks roughly fair for a real inflection.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -5.7% · 75% at or below spot

$31.14 expected fair value today

-4.3% vs spot $32.54

FORWARD COMPOUNDED VALUE

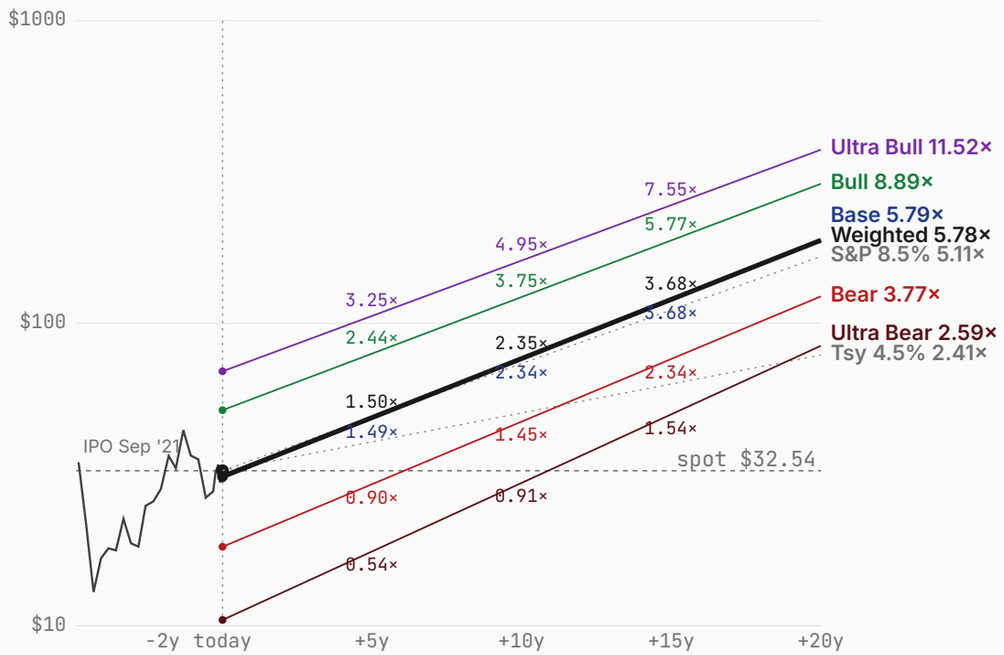
+5y	+10y	+15y	+20y
$48.78	$76.45	$119.90	$188.16
1.50× spot	2.35× spot	3.68× spot	5.78× spot

WEIGHTING RATIONALE

Ultra Bear 14% Take-rate compresses, growth stalls; ~$10 (-65%).
Bear 27% Locations grow but margins inflect slowly; ~$18 (-39%).
Base 34% Runway + leverage compound to ~15%; ~$31 (+3%).
Bull 17% Adds + take-rate + attach all compound; ~$52 (+73%).
Ultra Bull 8% Restaurant OS, platform FCF machine; ~$69 (+133%).

Bull (17%) + Ultra Bull (8%) together contribute $14.32 — 46% of the $31.14 expected value despite 25% combined probability. Today's spot ($32.54) sits 4% above the weighted expected; the forward-weighted value reaches spot within a year.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR $10.45

-67.9% vs spot

CAGR +4.6% WACC 11.0%
CAGR +4.6% Prob 14%

Take-rate compresses; growth stalls.

BEAR $18.24

-43.9% vs spot

CAGR +8.6% WACC 10.0%
CAGR +8.6% Prob 27%

Locations grow; margins inflect slowly.

BASE $30.70

-5.7% vs spot

CAGR +12.8% WACC 9.5%
CAGR +12.8% Prob 34%

Runway + leverage compound to ~15%.

BULL $51.59

+58.5% vs spot

CAGR +15.7% WACC 9.0%
CAGR +15.7% Prob 17%

Adds + take-rate + attach all compound.

ULTRA BULL $69.36

+113.2% vs spot

CAGR +18.7% WACC 8.8%
CAGR +18.7% Prob 8%

Restaurant OS; platform FCF machine.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Toast, Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $31.14 (-4.3% vs spot)

ULTRA BEAR $10.45

-67.9% vs spot

Probability 14%

Take-rate compresses; growth stalls.

WHY 14%

The genuine bear: payments is ~80% of revenue and the take rate is the contested battleground (Block/Square, Clover, Shift4), restaurants are cyclical SMBs, and the ~37x P/E left little safety margin before the de-rate. 14% on take-rate compression plus a soft cycle.

WHAT HAPPENS

Competition does its worst: Block/Square and Clover undercut payments pricing, the take rate on $51B+ of GPV compresses, and SMB churn rises through a restaurant-spending downturn. Location adds decelerate toward mid-single-digit, the margin inflection stalls near today's level, and revenue compounds only ~4-5%.

A payments-heavy platform whose take rate erodes while growth fades earns a low EV/sales (~1.0-1.5x) and a ~13x terminal FCF multiple → DCF ~$10 (-65%). Net cash sets a floor; a compressed, slowing fintech book can't support more.

BEAR $18.24

-43.9% vs spot

Probability 27%

Locations grow; margins inflect slowly.

WHY 27%

Share gains continue but competition caps the take rate and the cycle softens SMB demand, so margins improve modestly rather than re-rating. 27% as the plausible 'grows but converts slowly' path.

WHAT HAPPENS

Locations keep growing but adds slow to ~8-10% as the easy US share is taken and enterprise/international ramps gradually; the take rate holds but doesn't expand, and operating margin grinds up from the mid-single digits rather than stepping. Revenue compounds ~8% to ~$9B at a still-modest FCF margin.

DCF ~$18 (-39%) - a real franchise that grows but whose cash conversion lags its top line is worth below today's price; the market's discount is warranted if the inflection plateaus.

BASE $30.70

-5.7% vs spot

Probability 34%

Runway + leverage compound to ~15%.

WHY 34%

Requires the location runway to continue and the demonstrated operating leverage to keep flowing through - consistent with the -7%→21% margin trajectory and the attach flywheel, not a step-change. 34% as the central outcome.

WHAT HAPPENS

The modal path: locations keep compounding low-double-digit toward a long US runway (171k of 875k+) with enterprise/international adding, the take rate holds as attach (Capital, marketing, ToastIQ) lifts ARPU, and operating leverage carries GAAP op margin from ~5% toward ~15%. Revenue compounds ~13% to ~$11B.

DCF ~$31 (+3%) - the proven inflection continues at a moderating pace and the de-rated entry re-rates with the fundamentals; the modal case only just clears today's price, which looks roughly fair for a real inflection.

BULL $51.59

+58.5% vs spot

Probability 17%

Adds + take-rate + attach all compound.

WHY 17%

Toast's switching-cost Power (the embedded POS/payments operating system) plus the attach flywheel and a long location runway make a compounding-take-rate outcome credible. ~17% weight on adds and take rate compounding together.

WHAT HAPPENS

Locations, take rate and attach compound together: ~20% location growth holds as enterprise/international scale (Q1 enterprise bookings already exceeded the prior-year customer count), Toast Capital and marketing/ads lift the take rate and ARPU, and operating margin inflects toward ~20% as SaaS (81% gross margin) carries the mix. Revenue compounds ~15% to ~$12.5B.

DCF ~$52 (+73%) - if the location runway, take rate and attach all compound, the de-rated entry re-rates hard with the fundamentals; this is the core of the bull.

ULTRA BULL $69.36

+113.2% vs spot

Probability 8%

Restaurant OS; platform FCF machine.

WHY 8%

Everything works - locations AND take rate AND attach AND international AND a data/network flywheel, the embedded-OS outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: Toast becomes the default restaurant operating system, sustaining ~20%+ location growth deep into the US TAM and internationally, fintech attach (Capital, marketing, data/ToastIQ) compounds the take rate, and a nascent network/data effect widens the moat as operating margin marches toward ~23%. Revenue compounds ~18% to ~$14B and free cash flow scales.

DCF ~$69 (+133%) - the platform earns a software-and-payments compounder multiple; ~8% probability, the asymmetric upside the depressed entry is buying.

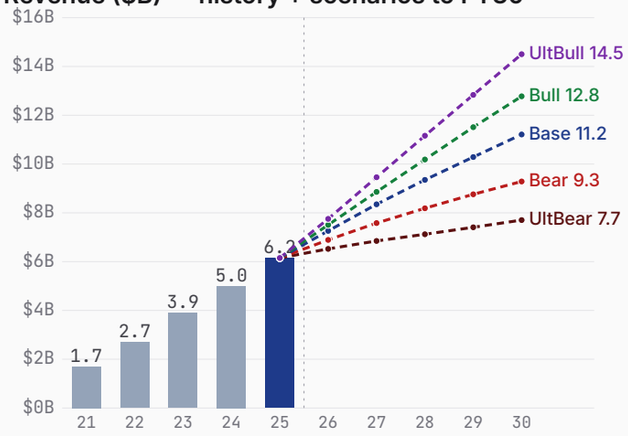
NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Toast, Inc. business snapshot

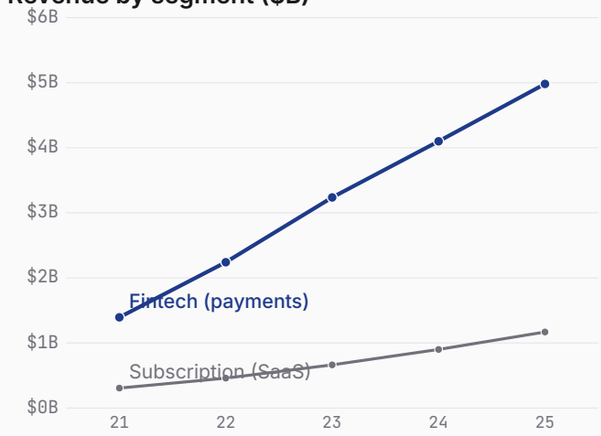
Bear $18.24 Base $30.70 Bull $51.59

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results

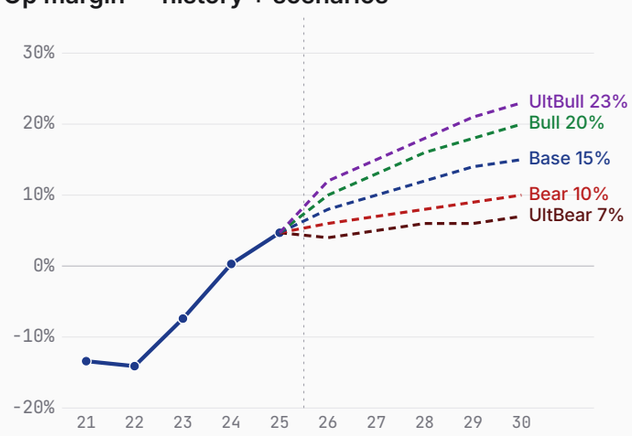
Revenue ($B) — history + scenarios to FY30



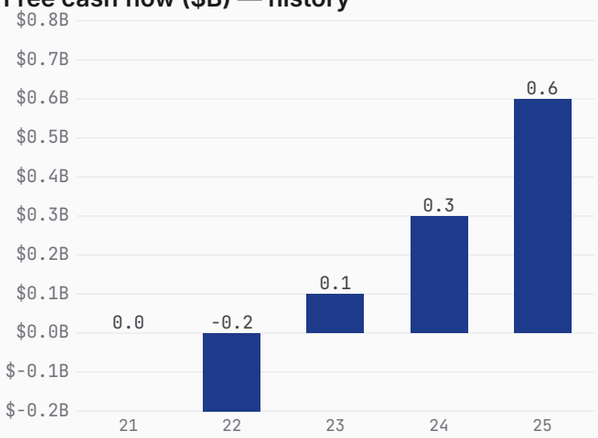
Revenue by segment ($B)



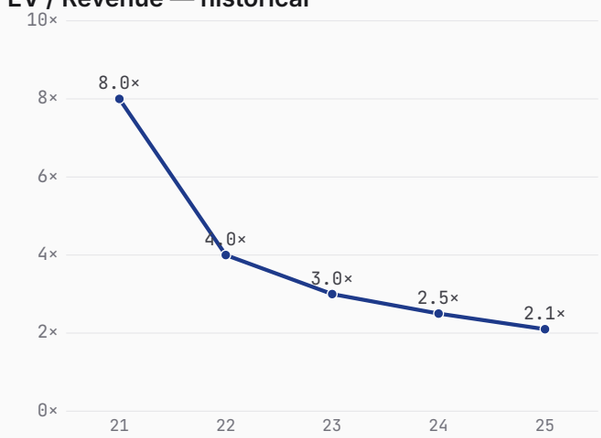
Op margin — history + scenarios



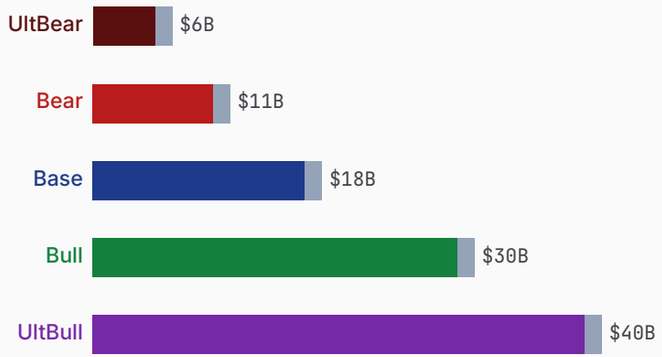
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1650164), Toast Q1 FY2026 release (ARR $2.2B/+26%, GPV $51.3B/+22%, 171,000 live locations/+22%, GAAP op margin ~21%, SaaS gross margin 81%, fintech/payments ~80%+ of revenue). FCF margin is modeled on TOTAL (payments-heavy) revenue so it reads low (~6-11%) - read ex-SBC owner FCF on recurring gross profit. Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Block/Square, Olo, Shift4, Fiserv (Clover).

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Toast, Inc. 7 Powers · the moat, scored

Bear $18.24 Base $30.70 Bull $51.59

Arena. Restaurant commerce platforms (POS + payments + software) - Toast (171k live locations, $51B+ GPV, vertically-integrated hardware/SaaS/payments) vs Block/Square, Fiserv (Clover), Shift4, Olo, plus legacy POS (NCR/Aloha, Lightspeed); auditing an embedded switching-cost Power against payments take-rate competition.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Real and growing: $51B+ GPV and 171k locations give payments/sourcing/R&D leverage that funded the margin inflection, but Block/Fiserv process far more volume overall.
Network Economies ■□□	Nascent - data/ToastIQ across the restaurant base and supplier/marketplace links could compound, but it is early and not yet a durable network effect.
Counter-Positioning ■■□	The vertically-integrated restaurant-specific stack (hardware + SaaS + payments) is awkward for horizontal processors (Block) and pure-SaaS (Olo) to copy without cannibalizing their model.
Switching Costs · thesis leans here ■■■	The dominant Power: once Toast is the restaurant's POS, payments, payroll, online-ordering and capital operating system, ripping it out mid-service is costly and risky - high retention, the moat the take rate rides on.
Branding ■■□	A strong restaurant-category brand and reference base, but brand alone doesn't set the payments take rate.
Cornered Resource ■□□	The installed base and restaurant operating data are valuable, but not a truly cornered resource.
Process Power ■■□	Demonstrated operating-leverage execution (-7% → 21% GAAP op margin, adj EBITDA doubled) and product velocity (Capital, marketing, ToastIQ); improving, not yet a structural process moat.

PEER SET

Block / Square — 10% gr · 10% mgn · ~3x EV/sales
Horizontal payments + Square for Restaurants; the primary payments take-rate competitor and pricing pressure.

Fiserv (Clover) — 7% gr · 30% mgn · ~14x P/E
Scaled processor with a fast-growing restaurant/SMB POS; the volume-and-distribution threat to the take rate.

Olo — 18% gr · 10% mgn · ~5x EV/sales
Restaurant ordering/digital SaaS; an attach/adjacency competitor and partner, asset-light vs Toast's payments model.

Shift4 — 25% gr · 20% mgn · ~18x P/E
Payments-led restaurant/hospitality processor; a direct take-rate rival expanding in the vertical.

THREAT VECTORS · FALSIFIERS

Switching Costs · Block/Square, Clover, Shift4 underpricing payments
falsifier: Payments take rate on GPV compresses as competitors undercut, eroding the ~80% fintech book even with retention holding.

Scale Economies · Fiserv/Block volume + distribution
falsifier: Location adds decelerate below ~10% as scaled processors win SMB share through bundling and price.

Network Economies · Olo / data-platform entrants
falsifier: ToastIQ/data and the attach flywheel fail to compound, leaving Toast a price-competed processor rather than an operating system.

COMPETITIVE READ

Toast's switching-cost Power is genuine and dominant - once it is the restaurant's POS, payments, payroll and ordering operating system, ripping it out mid-service is costly, which underpins high retention and the take rate the model rides on, supported by real scale (171k locations, $51B+ GPV). The Audit: switching_costs is durable (high), scale_economies funded a demonstrated margin inflection (-7% → 21% GAAP op margin), and a network/data leg (ToastIQ) is nascent; the live threat is payments take-rate competition from Block/Square, Clover and Shift4 against an ~80%-payments revenue base. The ~18% TTM de-rate met that proven inflection, and the modal DCF lands +3% - the distribution says the price is ~fair for a real operating-leverage story, gated on the take rate holding as Toast scales.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Toast, Inc. show your work

Bear $18.24 Base $30.70 Bull $51.59 · Weighted $31.14 (-4.3%)

ULTRA BEAR $10.45

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	7.0
WACC (%)	11.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.46B
Starting revenue ($B)	6.15
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.52	+4%	+0.26	+0.23
FY27	6.85	+5%	+0.34	+0.28
FY28	7.12	+6%	+0.36	+0.26
FY29	7.41	+6%	+0.44	+0.29
FY30	7.70	+7%	+0.46	+0.27

Σ PV explicit FCF	+1.34
+ PV terminal (g 3.0%)	3.53

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.87B
+ Cash & investments	$1.35B
= Equity value	$6.22B
FY30 shares (M)	595
= Expected per share	**$10.45**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$17.61	$29.67	$50.00	$84.25
0.54×	0.91×	1.54×	2.59×

BEAR $18.24

ASSUMPTIONS

5y revenue CAGR (%)	+8.6
Year-5 op margin (%)	10.0
WACC (%)	10.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$0.74B
Starting revenue ($B)	6.15
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.89	+6%	+0.34	+0.31
FY27	7.58	+7%	+0.46	+0.38
FY28	8.19	+8%	+0.57	+0.43
FY29	8.76	+9%	+0.70	+0.48
FY30	9.29	+10%	+0.74	+0.46

Σ PV explicit FCF	+2.06
+ PV terminal (g 3.5%)	7.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.41B
+ Cash & investments	$1.35B
= Equity value	$10.76B
FY30 shares (M)	590
= Expected per share	**$18.24**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$29.38	$47.31	$76.19	$122.71
0.90×	1.45×	2.34×	3.77×

BASE $30.70

ASSUMPTIONS

5y revenue CAGR (%)	+12.8
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$1.23B
Starting revenue ($B)	6.15
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.26	+8%	+0.44	+0.40
FY27	8.35	+10%	+0.67	+0.56
FY28	9.35	+12%	+0.84	+0.64
FY29	10.29	+14%	+1.03	+0.72
FY30	11.21	+15%	+1.23	+0.78

Σ PV explicit FCF	+3.10
+ PV terminal (g 3.5%)	13.51

EQUITY BUILD · $B & PER SHARE

Operating EV	$16.61B
+ Cash & investments	$1.35B
= Equity value	$17.96B
FY30 shares (M)	585
= Expected per share	**$30.70**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.33	$76.08	$119.77	$188.55
1.49×	2.34×	3.68×	5.79×

BULL $51.59

ASSUMPTIONS

5y revenue CAGR (%)	+15.7
Year-5 op margin (%)	20.0
WACC (%)	9.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$1.79B
Starting revenue ($B)	6.15
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.51	+10%	+0.60	+0.55
FY27	8.86	+13%	+0.89	+0.75
FY28	10.19	+16%	+1.12	+0.87
FY29	11.51	+18%	+1.50	+1.06
FY30	12.78	+20%	+1.79	+1.16

Σ PV explicit FCF	+4.39
+ PV terminal (g 4.0%)	24.18

EQUITY BUILD · $B & PER SHARE

Operating EV	$28.57B
+ Cash & investments	$1.35B
= Equity value	$29.92B
FY30 shares (M)	580
= Expected per share	**$51.59**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$79.38	$122.13	$187.92	$289.13
2.44×	3.75×	5.77×	8.89×

ULTRA BULL $69.36

ASSUMPTIONS

5y revenue CAGR (%)	+18.7
Year-5 op margin (%)	23.0
WACC (%)	8.8
Terminal growth (%)	4.0
Terminal FCF ($B)	$2.32B
Starting revenue ($B)	6.15
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.75	+12%	+0.70	+0.64
FY27	9.46	+15%	+1.04	+0.88
FY28	11.16	+18%	+1.45	+1.13
FY29	12.84	+21%	+1.93	+1.37
FY30	14.50	+23%	+2.32	+1.52

Σ PV explicit FCF	+5.54
+ PV terminal (g 4.0%)	32.99

EQUITY BUILD · $B & PER SHARE

Operating EV	$38.53B
+ Cash & investments	$1.35B
= Equity value	$39.88B
FY30 shares (M)	575
= Expected per share	**$69.36**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$105.74	$161.21	$245.78	$374.70
3.25×	4.95×	7.55×	11.52×

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Toast, Inc. People · Opportunity · Context · Deal

Bear $18.24 Base $30.70 Bull $51.59

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Aman Narang · `founder-led` — 2 yrs in seat

10%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Founder-led and net cash (~$1.35B cash + ~$0.64B securities, no debt). A Class A buyback began in 2024 (~8M shares / ~$235M to date) and the board added a $500M authorization in Feb 2026; no dividend. M&A is a consistent small bolt-on pattern (xtraCHEF, Sling, Delphi). SBC is declining ($287M FY2023 to $258M FY2024) and buybacks offset issuance, holding net dilution to ~3%/yr.

Incentive alignment
CEO comp is ~96% equity / ~4% salary (Narang FY2024 total ~$11.3M on a $400K base) - heavily equity-weighted, low base. Say-on-pay passed at the 2026 meeting. Insider Form 4 activity is routine (10b5-1 / sell-to-cover on RSU vesting plus an estate-planning gift), not discretionary cash-outs.

GOVERNANCE FLAGS

- dual-class: Class B carries 10 votes/share; the officer-and-director group holds ~40.6% of total voting power on ~10% economic ownership (a sub-majority control block)
- mitigant: the dual-class has a defined sunset - Class B converts to Class A on the earlier of 24 Sep 2028 or a two-thirds Class B vote, and 1:1 on transfer
- separate independent Chair / Lead Independent Director (Mark Hawkins), distinct from the CEO; 9-member board, 7 independent (~78%), with two founder seats (Narang, Fredette) and VC reps (Bessemer, TCV)
- classified / staggered board
- 2023 securities law-firm investigations tied to the $0.99 online-order fee reversal (no sourced outcome); related-party section not independently verified

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-4.3% vs spot $32.54`

> **PEOPLE READ**
> Founder-CEO (Narang) with two co-founders still operating (President, CTO), heavily equity-aligned, on a net-cash balance sheet with a disciplined buyback and declining SBC, under a separate independent Chair - a solid founder-led profile. Held at 3 by the 10x super-voting dual-class (sub-majority ~40.6% of votes, though sunsetting in 2028), a classified board, and the unresolved 2023 fee-reversal securities investigations.

Toast, Inc. supporting analysis · disclaimers · glossary

Bear $18.24 Base $30.70 Bull $51.59

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate met a proven inflection, not a story.**
GAAP op margin went -7% → 0.3% → 4.7% and adj EBITDA doubled FY25 - the leverage is real, so the ~18% drop re-priced a real business.

2 **Payments is ~80% of revenue, so FCF margin reads low.**
On TOTAL payments-heavy revenue FCF margin looks ~6-11%; read ex-SBC owner FCF on recurring gross profit - the take rate is the real lever.

3 **The take rate is the whole question.**
Payments competition (Block/Square, Clover, Shift4) is the live threat to the ~80% fintech book; attach lifts take rate as Toast scales.

4 **Location runway is long but the easy share thins.**
171k of 875k+ US restaurants leaves a long runway, but US SMB adds get harder; enterprise/international is the next leg the bull needs.

5 **Net cash; no solvency risk.**
$1.35B cash, no debt, GAAP-profitable (net income $342M FY25) - no solvency risk; the downside is take-rate/multiple, not survival.

FALSIFICATION TRIGGERS

Bull validation

location adds hold ~20% (enterprise/international ramping) · payments take rate stable-to-up as attach scales (Capital, marketing, ToastIQ) · GAAP op margin sustains the inflection toward the teens · ARR growth stays >=20%

Bear validation

location adds decelerate below ~10% · payments take rate compresses as Block/Clover/Shift4 undercut · GAAP op margin stalls or reverses · SMB churn rises through a restaurant-spending downturn

Reframe needed

if the take rate compresses structurally or location growth falls below ~10% without enterprise/international offsetting, the runway shortens - re-rate the terminal toward a low-growth, price-competed payments processor multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice.

This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

Not a professional.

The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $TOST or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GPV — Gross Payment Volume - total payments processed across Toast restaurants (~$51.3B/quarter, +22%); the base the payments take rate is applied to, and the swing-factor's denominator.

Attach — Add-on products beyond core POS/payments - Toast Capital (lending), marketing/ads, ToastIQ - that lift ARPU and the effective take rate per location.

Take rate — Fintech (payments) revenue as a fraction of GPV; ~80%+ of total revenue rides on it, so its durability against Block/Square/Clover competition is the central question.

FCF margin — Free cash flow / revenue; modeled on TOTAL payments-heavy revenue so it reads ~6-11% - read ex-SBC owner FCF on recurring gross profit net of ~11% SBC dilution; the mature-DCF swing factor.

ARR — Annualized recurring revenue (~$2.2B, +26%) - the SaaS subscription book (81% gross margin); the higher-margin leg whose mix-up is the margin-inflection lever.